

Foreign Investment Policy

Foreign investment refers to the flow of capital from one nation into another, giving foreign entities ownership stakes or controlling rights in domestic enterprises. In India, Foreign Direct Investment (FDI) is regulated under the Foreign Exchange Management Act (FEMA) and administered by the Department for Promotion of Industry and Internal Trade (DPIIT) under the Ministry of Commerce and Industry.

Foreign investment is broadly classified into two primary categories:

- **Foreign Direct Investment (FDI):** This occurs when a foreign investor establishes a lasting interest and a significant degree of influence or control over a domestic enterprise (such as through equity ownership in unlisted or listed companies). It often brings long-term capital, technology, and management expertise.
- **Foreign Portfolio Investment (FPI):** This involves investors purchasing securities (such as shares, bonds, or other financial instruments) issued by a foreign entity without seeking active management control or operational influence. It provides liquidity to financial markets and allows investors to easily buy and sell holdings on recognized stock exchanges.

Investment Entry Routes

Foreign investments in India enter through two primary mechanisms:

A. Automatic Route

- **Definition:** Under this route, the foreign investor or the Indian company does not require prior approval from the Government of India or the Reserve Bank of India (RBI).
- **Compliance:** Post-investment reporting (such as filing Form FC-GPR on the RBI's FIRMS portal within the stipulated time) is mandatory.

B. Government Route (Approval Route)

- **Definition:** For sensitive sectors or activities impacting national security, prior government clearance is mandatory.
- **Process:** Applications are submitted online via the Foreign Investment Facilitation Portal (FIFP), which routes them to the relevant line ministries/departments for clearance.

3. Comprehensive List of Industry-Wise Sectoral Caps (100%, 74%, 49%, and Others)

India follows a "negative list" approach—any sector not explicitly restricted or prohibited allows up to 100% FDI. The major industry breakdown includes:

I. 100% FDI Sectors (Automatic & Government Routes)

- Manufacturing: 100% under the Automatic Route.
- Insurance Sector & Intermediaries: 100% under the Automatic Route (updated via recent policy revisions, excluding LIC which remains capped at 20%).
- Telecommunications: 100% under the Automatic Route (subject to licensing and security rules).
- Space Sector: 100% allowed (automatic for component manufacturing and specific sub-activities).
- IT and Software / E-Commerce (Marketplace Model): 100% under the Automatic Route.
- Infrastructure & Renewable Energy: 100% under the Automatic Route.
- Mining & Coal Processing: 100% under the Automatic Route for captive consumption and sale.
- Food Processing Industries: 100% under the Automatic Route.

II. 74% FDI Sectors

- Defence Industry: Up to 74% under the Automatic Route; investments exceeding 74% require Government Approval (typically tied to access to modern or critical technology).
- Private Sector Banking: Up to 74% (Automatic up to 49%; Government approval required for the bracket between 49% and 74%).
- Pharmaceuticals (Brownfield): Up to 74% under the Automatic Route; above 74% requires Government Approval (Greenfield pharma allows 100% automatic).
- Pension Sector: 74% under the Automatic Route (governed by the PFRDA Act).

III. 49% and Other Capped Sectors

- Air Transport Services (Scheduled Airlines): Up to 49% under the Automatic Route (higher limits permitted for NRIs).
- Broadcasting Content Services (FM Radio, DTH, TV Uplinking): Capped between 49% and 100% under the Government Route.

- Print Media (News and Current Affairs): 26% under the Government Route.
- Multi-Brand Retail Trading (MBRT): 51% under the Government Route (subject to strict local sourcing and backend infrastructure conditions).

IV. Prohibited Sectors

FDI is entirely banned in the following sectors:

- Atomic Energy
- Lottery Business
- Gambling and Betting
- Chit Funds and Nidhi Companies
- Cigar, cigarette, or tobacco manufacturing (where licensing is compulsory)

Latest Changes in foreign investment policy

1. Investments from Land-Bordering Countries (Press Note 2 & 3 Amendments)

- Relaxation for Non-Controlling Ownership: Under updated guidelines, entities or citizens of countries sharing a land border with India (or investors with beneficial owners from such countries) can invest up to 10% non-controlling ownership through the Automatic Route without prior government approval, provided sectoral caps and conditions are met.
- Government Route Mandate: Investments exceeding the 10% threshold or involving ultimate effective control continue to require prior Government Approval. Subsequent transfers that result in such beneficial ownership also require approval.
- Alignment with PMLA: "Beneficial ownership" is formally defined and assessed in alignment with the Prevention of Money Laundering Act (PMLA) and its rules, covering direct/indirect cumulative rights and control mechanisms.
- Reporting Compliance: Even when prior approval is bypassed under the safe-harbour limit, investments involving land-border ownership are subject to strict reporting obligations prescribed by the DPIIT and RBI.

2. Liberalisation of the Insurance Sector

- 100% FDI via Automatic Route: Foreign investment limits in Indian insurance companies and insurance intermediaries (including brokers, reinsurance brokers, corporate agents, third-party administrators, and consultants) have been increased to 100% under the automatic route.

- **Exceptions & Controls:** The FDI limit for the Life Insurance Corporation of India (LIC) remains capped at 20% under the automatic route. Furthermore, recipient insurance entities must meet regulatory licensing requirements from the IRDAI, and at least one key executive (Chairperson, Managing Director, or CEO) must be a resident Indian citizen.

3. Policy Adjustments for E-Commerce Exports

- **Inventory-Based Model for Exports:** Under export-related relaxations, e-commerce entities are permitted to operate an inventory-based model exclusively for exporting goods manufactured or produced in India.
- **Domestic B2C Restriction:** This relaxation does not alter domestic e-commerce regulations; the standing prohibition on foreign-funded inventory-based models for domestic B2C sales to Indian consumers remains fully intact.

4. Individual Foreign Investors and Stock Exchange Participation

- **Broadened Investor Base:** All individual persons resident outside India (expanding beyond traditional NRIs and Overseas Citizens of India) are permitted to purchase equity instruments of listed Indian companies on recognized stock exchanges on a repatriation basis.
- **Threshold Rules:** An individual investor's holding must stay below 10%, with aggregate holdings of such individual foreign investors normally capped at 24%. Hitting or crossing the 10% mark mandates reclassification from Foreign Portfolio Investment (FPI) to FDI under RBI norms.

5. Ongoing Prohibitions

Foreign investment remains entirely prohibited in sensitive and restricted sectors, including:

- Atomic energy and railway operations not opened to private participation
- Lottery businesses, gambling, and betting
- Chit funds and Nidhi companies
- Trading in transferable development rights and specified real-estate business or farmhouses
- Manufacturing of cigars, cigarettes, or similar tobacco products where licensing is compulsory